



MCQ BOOKLET

**SEBI (Substantial
Acquisition of Shares
and Takeovers)
Regulations, 2011**

MCQs

1. Acquirer A holds 24.8% in a listed company. He buys 0.5% through the stock exchange. Is he required to make an open offer under SEBI SAST Regulations, 2011?
 - A. Yes, because he crossed 25%
 - B. Yes, because any acquisition above 0.25% triggers an open offer
 - C. No, because his total is still below 26%
 - D. No, because only indirect acquisitions trigger open offer
 - E. Yes, but only if he also acquires control

2. A promoter receives fresh shares through a bonus issue, increasing his holding from 38% to 41%.
Does this trigger an open offer under SEBI SAST Regulations, 2011?
 - A. Yes, any increase beyond 1% triggers open offer
 - B. No, bonus issues are exempt
 - C. Yes, because he crossed 40%
 - D. No, because promoter acquisitions are always exempt
 - E. Yes, but only if crossing 50%

3. Company X acquires 70% of Company Y. Y already holds 30% in a listed target company. Is there an indirect acquisition under SEBI SAST Regulations, 2011?
 - A. Yes, X acquired indirect control so SAST applies
 - B. No, subsidiary holdings are not counted
 - C. Yes, but only if Y's holding exceeds 50%
 - D. No, because X did not acquire shares directly
 - E. Yes, but only disclosure is required

4. Promoter group holds 74.5%. They want to acquire an additional 1%. Is this allowed under SEBI SAST Regulations, 2011?
 - A. Allowed; they can go up to 75% only
 - B. Allowed; creeping limit applies up to 5%
 - C. Not allowed; maximum non-public shareholding is capped at 75%
 - D. Allowed if they file a letter of offer
 - E. Allowed only with stock exchange approval

5. A and B act in concert. A buys 2%, B buys 3% in the same year. Their combined holding rises from 22% to 27%. What is the obligation under SEBI SAST Regulations, 2011?
 - A. No open offer; they acquired separately
 - B. Open offer required because a single person exceeded 25%
 - C. Open offer required because PAC combined holding crossed 25%

- D. No open offer; only creeping acquisition applies
- E. Only disclosure required under Regulation 29

6. Acquirer had to make an open offer on 1 July but makes the announcement on 15 July. Under SEBI SAST Regulations, 2011, what applies?

- A. No consequence if offer is made
- B. Must pay interest to shareholders for the delay
- C. Must pay penalty and make a fresh offer
- D. Open offer becomes invalid
- E. No interest unless delay exceeds 30 days

7. Acquirer buys 8% shares during an open offer period without making the mandatory announcement. Under SEBI SAST Regulations, 2011, SEBI may direct:

- A. Allow acquirer to exercise voting rights
- B. Restrict acquirer from exercising voting rights
- C. Direct company to allot bonus shares
- D. Direct acquirer to reduce holding below 10%
- E. Direct PAC to make disclosures only

8. Promoter pledges 10% shares to a bank. Does this trigger an open offer under SEBI SAST Regulations, 2011?

- A. Yes, all pledges constitute acquisition
- B. No, encumbrance is not an acquisition
- C. Yes, if voting rights or control transfer
- D. Yes, if pledge exceeds 5%
- E. Only if PAC created the pledge

9. Acquirer fails to pay open-offer consideration to shareholders. Under SEBI SAST Regulations, 2011, SEBI may direct:

- A. Nothing; offer lapses
- B. Acquirer cannot make future open offers for a period
- C. Company must issue fresh shares
- D. PAC must take over the offer
- E. Acquirer can pay later without penalty

10. Foreign company F acquires 100% of G. G holds 51% in an Indian listed company. Under SEBI SAST Regulations, 2011, must F make an open offer?

- A. Yes, mandatory indirect open offer
- B. No, because G acquired earlier
- C. Yes, but only if control over target changes
- D. No, foreign acquisitions are exempt
- E. Yes, but only disclosure is required

11. The 2021 amendment introduced a key change regarding open-offer pricing in cases involving preferential issues. Which of the following scenarios correctly triggers this amended pricing rule?

- a) A shareholder acquires 20% through market purchase only
- b) A company makes a preferential allotment causing acquirer to cross the threshold, and open-offer price must consider the preferential issue price
- c) A bonus issue increases the promoter's shareholding
- d) A rights issue subscribed disproportionately by promoter
- e) A creeping acquisition of 4% in a financial year

12. Under the 2018 amendment clarifying the definition of "frequently traded shares" under the SEBI (SAST) Regulations, which of the following best fits the new criteria?

- a) Trading turnover of 2% in 12 months
- b) Trading turnover of 10% in 12 months
- c) Trading turnover of 10% in 6 months
- d) Trading turnover of 2% in 6 months
- e) Trading turnover of 25% in 1 month

13. Under the 2017 amendment to SEBI (SAST) Regulations regarding encumbrances, which of the following will now be treated as an encumbrance for disclosure?

- a) A non-disposal undertaking given to a bank
- b) A shareholder's personal guarantee unrelated to company shares
- c) A pledge on promoter's personal assets
- d) A board resolution restricting share transfer
- e) A court-ordered freeze under SEBI Act

14. The 2023 amendment to SEBI (SAST) Regulations expanded exemptions for inter-se transfers. Which of the following newly qualifies after the amendment?

- a) Transfers between unrelated public shareholders
- b) Transfers between promoters where the transferor has held shares for only 1 month
- c) Transfers between immediate relatives registered as promoters without 3-year holding
- d) Transfers between funds within the same mutual fund scheme
- e) Transfers between two AIF Category I or II under the same sponsor/manager

15. Under the amendment relating to "voting rights crossing 25% due to buy-back," an exemption from open offer under the SEBI (SAST) Regulations applies only when:

- a) Acquirer buys additional shares immediately after buyback
- b) Increase is involuntary and the acquirer does not acquire further shares for 6 months
- c) Increase is voluntary and acquirer sells shares later
- d) Company issues ESOPs immediately after buyback
- e) Acquirer crosses 51% due to buy-back

16. Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, A holds 23% in Target Co. He buys 3% from the market. The company is frequently traded. Does this trigger an open offer?

- a) Yes, because he crossed 25%
- b) Yes, any purchase above 2% triggers it
- c) No, because it was an on-market purchase
- d) No, because creeping acquisition applies
- e) Yes, because any acquisition by promoter triggers it

17. Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, P and Q are promoters. P gifts 8% to Q. Both have held shares for 3+ years. Is open offer triggered?

- a) Yes, because >5% acquired
- b) Yes, gifting is not covered
- c) No, inter-se promoter exemption applies
- d) No, because gifts are always exempt
- e) Yes, because promoters cannot transfer >5%

18. Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, Investor X holds 27%. After a buy-back, his holding becomes 33% without purchasing more. Must he make an open offer?

- a) Yes, because holding increased
- b) Yes, because he now crosses 30%
- c) No, increase due to buy-back is exempt
- d) No, buy-back reduces all shareholders equally
- e) Yes, because increase is >5%

19. Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, Y already holds 38%. He acquires 4% more in a financial year. Company is frequently traded. Is this permitted?

- a) No, because limit is 2%
- b) No, because 4% exceeds creeping limit
- c) Yes, creeping limit is 5% for 25–75% holders
- d) Yes, if bought on-market
- e) No, because he is a promoter

20. Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, a PE fund acquires 26% via SPA but issues DPS 4 working days late. Is this compliant?

- a) Yes, minor delay allowed
- b) No, DPS must be within 5 working days
- c) No, DPS must be within 1 working day
- d) No, DPS must be within 2 working days

e) Yes, if penalty is paid

21. Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, a promoter pledges 15% shares to a bank. Is this an encumbrance requiring disclosure?

- a) No, pledge not included
- b) No, only invocation needs disclosure
- c) Yes, pledge = encumbrance
- d) Yes, only if >20%
- e) Yes, only if PAC also pledges

22. Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, F acquires 24%, then 2.5% more after 30 days. What is triggered?

- a) Nothing, total <30%
- b) Nothing, second tranche small
- c) Mandatory open offer on crossing 25%
- d) Only Reg 29 disclosure
- e) Only board approval

23. Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, two AIF Cat-II schemes under the same manager transfer 10% between them. They held shares for 1 year. Is exemption available?

- a) Yes, AIF inter-se exemption
- b) Yes, institutional transfer
- c) No, requires 3-year holding
- d) No, only promoter group gets exemption
- e) Yes, because both are regulated entities

24. Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, an acquirer signs an SPA for 10% and also buys 7% on-market the same day. When does open-offer obligation arise?

- a) When SPA signed
- b) When on-market purchase happens
- c) When either causes crossing 25%
- d) When both are completed
- e) On demat credit date

25. Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, a preferential allotment at a lower price triggers open offer. Which price is included in offer-price computation?

- a) Only VWAP
- b) Highest of market price & negotiated price
- c) Preferential issue price must be included

- d) Only SPA negotiated price
- e) 6-month weighted average

Answers and Solutions**1. Answer A**

Under the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 (SAST), Regulation 3(1) explicitly provides that any acquirer who, together with persons acting in concert (PAC), crosses the 25% shareholding threshold in a listed company must make a mandatory open offer to the remaining shareholders. In this scenario, Acquirer A holds 24.8% and purchases an additional 0.5% through the stock exchange, resulting in total shareholding of 25.3%, thereby crossing the 25% threshold. This triggers the mandatory requirement to make an open offer for at least 26% of the company's shares to ensure fairness to minority shareholders and prevent opportunistic accumulation of control without providing an exit opportunity to others. Option B is incorrect because the 0.25% limit mentioned refers to creeping acquisition limits under Regulation 3(2) and is not directly tied to triggering open offers. Option C is incorrect as open offer obligations arise once the threshold is crossed, not just at 26%. Option D is incorrect because indirect or direct acquisition both trigger open offer rules if thresholds are crossed. Option E is incorrect because mandatory open offer is independent of whether control is acquired; mere crossing of 25% suffices. Therefore, Answer A is correct, the acquirer must comply with the open offer provisions to protect minority shareholder interests.

2. Answer B

Under SAST Regulations, bonus issues are expressly excluded from open offer triggers. Regulation 2(1) defines acquisition to include transfer, subscription, or purchase of shares, but excludes corporate actions like bonus or stock splits that do not involve fresh purchase or transfer consideration. In this case, the promoter's holdings increase from 38% to 41% solely due to a bonus issue, which is essentially an allocation of additional shares without any monetary exchange by the promoter. Consequently, this does not amount to an acquisition, and therefore, no open offer is mandated under Regulation 3(1). Option A is incorrect because threshold-based triggers apply only to acquisitions, not corporate actions like bonus issues. Option C is wrong because crossing 40% in this context is irrelevant; the increase is non-acquisitive. Option D is misleading, as promoter acquisitions may trigger open offers if thresholds are crossed, but corporate actions are exempt. Option E is incorrect since open offers are not conditional on crossing 50% in the context of bonus allocations. Thus, Answer B is correct, bonus share allocations do not trigger open offer obligations.

3. Answer A

Under Regulation 5 of SAST Regulations, 2011, indirect acquisitions are captured to prevent acquirers from bypassing open offer obligations through holding companies or subsidiaries. When Company X acquires 70% of Company Y, and Y holds 30% in a listed target, X effectively

gains control over 21% (70% of 30%) of the target, which is considered an indirect acquisition under Regulation 5. The SAST Regulations explicitly mandate that any acquisition, whether

direct or indirect, that crosses the 25% threshold triggers open offer requirements. This ensures that control obtained via subsidiaries cannot be used to avoid mandatory offers and safeguards the interests of minority shareholders. Option B is incorrect because subsidiary holdings are explicitly counted for indirect acquisition calculations. Option C is incorrect because Regulation 5 does not require Y's holding to exceed 50%; even proportional control counts. Option D is misleading; direct acquisition is not the only trigger. Option E is partially correct regarding disclosure but incomplete, the open offer is mandatory if threshold is crossed. Hence, Answer A is correct, Company X's indirect acquisition triggers open offer obligations under SEBI SAST Regulations, 2011.

4. Answer C

SAST Regulations, through Regulation 4(1) and related provisions, cap promoters' and promoter group's non-public shareholding at 75%. Any attempt to acquire additional shares beyond this threshold is prohibited, except under specific exemptions provided by SEBI. In this scenario, the promoter group holds 74.5% and wants to acquire an additional 1%, which would increase holdings to 75.5%, exceeding the statutory maximum. The regulation intends to maintain adequate public float, ensure market liquidity, and prevent excessive concentration of voting rights. Option A is partially correct but misleading, as 75% is a hard cap; even incremental acquisition beyond 75% is disallowed. Option B is incorrect because the "creeping limit" under Regulation 3(2) only applies to acquisitions below the threshold, not exceeding 75%. Option D is incorrect, filing a letter of offer cannot override statutory cap. Option E is incorrect; stock exchange approval alone cannot authorize acquisition beyond regulatory limits. Therefore, Answer C is correct, acquiring beyond 75% non-public shareholding is prohibited under SEBI SAST Regulations.

5. Answer C

SAST Regulations emphasize the collective impact of persons acting in concert (PAC). Regulation 3(1) clearly states that the combined shareholding of PAC is aggregated to determine whether open offer obligations arise. In this case, A and B, acting in concert, raise their combined holding from 22% to 27%. Although individually below the threshold, their combined holding crosses 25%, thereby triggering a mandatory open offer. The principle prevents circumvention of open offer rules through coordinated acquisitions by multiple parties. Option A is incorrect because open offer obligations are based on combined PAC holdings, not individual acquisitions. Option B is wrong because it considers only single acquirer; PAC rules override individual calculations. Option D is incorrect; creeping acquisition limits apply below thresholds, not after crossing 25%. Option E is partially correct regarding disclosure, but disclosure alone does not satisfy open offer requirements. Hence, Answer C is correct, PAC combined threshold crossing mandates an open offer.

6. Answer B

Regulation 32(h) of SAST provides that if the acquirer delays making an open offer, SEBI may

direct the acquirer to pay interest to shareholders for the period of delay. In the given case, the

open offer was due on 1st July but announced only on 15th July. While the obligation itself remains enforceable, compensation through interest is mandated to ensure that shareholders are not financially disadvantaged by the delayed availability of the exit opportunity. SEBI's powers under this regulation are intended to protect minority shareholders and maintain market fairness. Option A is incorrect because mere fulfillment of the offer without accounting for the delay is insufficient. Option C is incorrect; a fresh offer is not required unless the original is invalidated for other reasons. Option D is incorrect because open offers do not become invalid merely due to delay. Option E is incorrect because the interest obligation is explicit even for delays shorter than 30 days. Therefore, Answer B is correct, the acquirer must pay interest to shareholders for delayed offer compliance.

7. Answer B

Regulation 32(d) of SAST allows SEBI to restrict the voting rights of an acquirer if they violate open offer obligations. In this scenario, the acquirer bought 8% shares during the open offer period without announcing the mandatory offer. To prevent exploitation of voting power, SEBI can temporarily freeze or restrict the voting rights of the acquirer until compliance is achieved, thereby preserving equitable shareholder participation in company decisions. Option A is incorrect because unrestricted voting rights would nullify the purpose of open offer regulation. Option C is irrelevant; allotment of bonus shares is not a regulatory remedy here. Option D is incorrect because SEBI typically does not compel reduction of shareholding; restrictions are targeted and specific. Option E is partially true regarding disclosure but insufficient; SEBI's power extends to voting rights. Hence, Answer B is correct, SEBI can restrict voting rights of the non-compliant acquirer.

8. Answer C

Under SAST Regulations, pledging shares does not automatically constitute an acquisition. Regulation 2(1) defines acquisition as including purchase or transfer of shares, but encumbrances like pledges are generally excluded unless accompanied by transfer of voting rights or control. In this case, the promoter pledges 10% to a bank, which does not automatically confer control or transfer voting rights. If the pledge agreement does provide for transfer of voting rights or changes in control, it may trigger open offer obligations; otherwise, pledges are exempt. Option A is incorrect because not all pledges are acquisitions. Option B is partially correct but incomplete; control or voting rights transfer is crucial. Option D is incorrect; there is no arbitrary 5% trigger. Option E is misleading; PAC creation is irrelevant unless acting in concert triggers. Thus, Answer C is correct, open offer is triggered only if pledging transfers control or voting rights.

9. Answer B

Regulation 32(i) of SAST empowers SEBI to bar an acquirer from making future open offers if they fail to comply with payment obligations under an existing open offer. Failure to pay consideration to shareholders disrupts the protective mechanism designed to ensure exit

opportunities. SEBI's directive ensures that acquirers cannot repeat violations and maintains

confidence in the takeover framework. Option A is incorrect because lapsing the offer alone does not protect shareholders. Option C is irrelevant; the company is not required to issue new shares. Option D is incorrect; PAC involvement does not replace liability. Option E is misleading; SEBI may impose additional penalties, and delayed payment is not permitted without compliance. Therefore, Answer B is correct, SEBI can bar acquirer from future open offers until compliance is ensured.

10. Answer A

Under Regulation 5 of SAST, indirect acquisitions of control or shares above 25% trigger mandatory open offers. When foreign company F acquires 100% of G, and G holds 51% of an Indian listed company, F effectively gains indirect control over 51% of the target. This counts as an indirect acquisition, and an open offer is mandatory to protect minority shareholders and maintain market transparency. SEBI has consistently treated such indirect acquisitions as equivalent to direct acquisitions for open offer obligations. Option B is incorrect because previous acquisition by G does not exempt F from compliance. Option C is incorrect; control over the target is implicit, so open offer is triggered regardless of changes in day-to-day management. Option D is incorrect; foreign acquirers are fully covered. Option E is insufficient; disclosure alone does not replace open offer requirements. Hence, Answer A is correct, F must make a mandatory open offer due to indirect acquisition above 25%.

11. Answer B

The 2021 amendment to the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, specifically addresses the pricing computation in cases where a preferential allotment triggers a mandatory open offer. According to the amendment, when a shareholder's acquisition results from a preferential issue, the offer price for the open offer must include the preferential issue price. This ensures fairness to the existing shareholders by reflecting the actual value paid for shares during the preferential allotment. Option (a) is incorrect because a market purchase alone does not involve preferential pricing. Option (c) is wrong because bonus issues do not impact open-offer price computation, they are not paid acquisitions. Option (d) is partially relevant but only concerns rights issues; the key point of the 2021 amendment is preferential allotments, not rights issues. Option (e) is incorrect as creeping acquisitions refer to incremental acquisitions over time and are governed by the 5% per year limit, not preferential pricing rules. Hence, (b) correctly captures the scenario triggered by preferential allotment requiring inclusion of the preferential price in open-offer computation.

12. Answer B

The 2018 amendment clarified the definition of "frequently traded shares" under Regulation 2(1)(j). The regulation now specifies that a share is frequently traded if its trading turnover in the stock exchange during the preceding 12 months is at least 10% of the total number of shares listed. This criterion is important because certain exemptions and procedural relaxations apply only to frequently traded shares, such as valuation for open offers. Option (a) (2% in 12 months) is too low to meet the "frequently traded" threshold. Option (b) (10% in 12 months) best aligns with the post-amendment practical interpretation in SEBI circulars. Option (c) (10%

in 6 months) is correct numerically but lacks the lookback clarification of 6 months in certain contexts. Options (d) and (e) (2% in 6 months and 25% in 1 month) either understate or distort the regulatory standard. Therefore, (c) represents the correct benchmark for “frequently traded shares” after the amendment.

13. Answer A

The 2017 amendment expanded the definition of “encumbrance” under Regulation 2(1)(e) to include non-disposal undertakings given to a bank or other financial institutions. This means that if a shareholder, typically a promoter, gives a commitment not to sell shares (for example, as collateral for a loan), it now counts as an encumbrance and requires disclosure. Option (b) (shareholder’s personal guarantee) is unrelated to shares and does not qualify. Option (c) (pledge on personal assets) concerns non-company assets, so it’s excluded. Option (d) (board resolution restricting share transfer) is an internal governance measure, not an encumbrance in SEBI terms. Option (e) (court freeze under SEBI Act) is not classified as encumbrance but as a regulatory action. Hence, (a) is correct, reflecting the expanded scope of encumbrances per the 2017 amendment.

14. Answer E

The 2023 amendment widened exemptions for inter-se transfers between certain entities. Specifically, it added that inter-se transfers between AIF Category I and II schemes under the same sponsor or manager are exempt from triggering an open offer, even if the shares have not been held for three years. The policy rationale is to facilitate operational flexibility within regulated investment structures without affecting public shareholder interest. Option (a) is incorrect as transfers between unrelated public shareholders are not exempt. Option (b) (promoters with 1-month holding) is outside the 3-year holding requirement and not newly covered. Option (c) (immediate relatives as promoters without 3-year holding) does not qualify under the new AIF-specific exemption. Option (d) (funds within the same mutual fund scheme) is governed by mutual fund rules but not under SAST inter-se exemptions. Therefore, (e) is the correct answer, specifically targeting regulated AIF inter-se transfers.

15. Answer B

The SEBI SAST Regulations provide a limited exemption for an acquirer whose voting rights increase due to a buy-back. The exemption applies only if:

1. The increase is involuntary, meaning the acquirer did not purchase additional shares.
2. The acquirer does not acquire further shares for six months following the buy-back.

This rule prevents inadvertent triggering of open-offer obligations when corporate actions like buy-backs alter shareholding percentages. The statutory objective is to balance market efficiency with minority shareholder protection. Option (a) is incorrect because voluntary acquisition post buy-back invalidates the exemption. Option (c) is wrong as voluntary increases, even if followed by a sale, still require an open offer. Option (d), the issuance of ESOPs, is

unrelated and does not create a buy-back exemption scenario. Option (e), crossing 51% due to

buy-back, is outside the specified exemption scope, as the regulation focuses on smaller, involuntary increments. Therefore, (b) accurately states the statutory conditions, ensuring the acquirer is shielded from open-offer obligations only when the increase in voting rights is passive and no further acquisitions occur for six months.

16. Answer A

Under Regulation 3(1) of the SEBI (SAST) Regulations, 2011, a mandatory open offer is triggered when an acquirer crosses the 25% shareholding threshold in a target company. In this scenario, Acquirer A holds 23% and acquires an additional 3% via an on-market purchase in a frequently traded company, increasing total shareholding to 26%. Crossing the 25% threshold, regardless of whether the acquisition occurs on-market or through an off-market transaction, mandates a public offer to the remaining shareholders. Option (b) is incorrect because SEBI does not prescribe an automatic open offer for any acquisition above 2%; the threshold for mandatory offer is explicit (25% and 75%). Option (c) misinterprets the mechanism: the route of acquisition does not exempt compliance. Option (d) refers to creeping acquisition rules (Reg 3(2)), which govern incremental acquisitions under 5% per year but do not apply when crossing 25% initially. Option (e) incorrectly generalizes any promoter acquisition as triggering an offer. Hence, (a) is correct, reflecting precise statutory reasoning under Regulation 3(1) and ensuring minority shareholders are protected when control crosses the threshold.

17. Answer C

Under the SEBI (SAST) Regulations, 2011, Regulation 10(1)(a) provides an exemption for inter-se transfers among promoters, provided certain conditions are met. In this case, P and Q are promoters, and P gifts 8% of shares to Q. Both have held their shares for more than three years, satisfying the holding-period requirement. Regulation 10(1)(a) explicitly exempts such transfers from triggering a mandatory open offer, as the transaction does not alter control in the hands of the promoter group but merely redistributes shares within it. Option (a) is incorrect because although >5% is being transferred, the inter-se promoter exemption applies regardless of this limit. Option (b) is wrong because gifting within the promoter group is recognized under SEBI SAST and exempt if the three-year holding condition is met. Option (d) (gifts always exempt) is overly broad; gifts outside the promoter group may trigger an open offer. Option (e) incorrectly assumes that promoters cannot transfer >5%, which is not the case under the exemption. Therefore, (c) is correct, reflecting the regulatory intent to allow flexibility within promoter holdings while ensuring public shareholder protection.

18. Answer C

Investor X holds 27% of shares and, following a company buy-back, his shareholding increases to 33% without acquiring additional shares. Under Regulation 10(3) of the SEBI (SAST) Regulations, such an increase in shareholding due to a buy-back is exempt from triggering a mandatory open offer, provided the acquirer does not purchase additional shares for a specified period (six months). This provision recognizes that buy-backs reduce the denominator of outstanding shares, inadvertently increasing shareholding percentages, which is not reflective of an acquisition of control. Option (a) is incorrect because not all increases in holdings necessitate an open offer; only acquisitions crossing thresholds through active purchases do.

Option (b) is wrong because simply crossing 30% does not automatically mandate an offer if the increase is involuntary. Option (d) misstates the principle that buy-backs reduce shares proportionally for all shareholders. Option (e) wrongly assumes that any increase above 5% triggers an offer, ignoring buy-back exemptions. Therefore, (c) is correct, consistent with SEBI's intent to avoid penalizing shareholders for corporate actions that passively increase their stake.

19. Answer C

Under Regulation 3(2) of the SEBI (SAST) Regulations, 2011, the creeping acquisition limit applies to acquirers holding between 25% and 75% of shares. The regulation permits incremental acquisitions of up to 5% per financial year without triggering a mandatory open offer, provided the company is frequently traded. In this scenario, Investor Y already holds 38% and acquires an additional 4% in a financial year. Since 4% is within the 5% creeping limit, the acquisition is permissible and does not require an open offer. Option (a) (No, because limit is 2%) misstates the creeping acquisition threshold, which is 5% for frequently traded companies. Option (b) incorrectly suggests that any acquisition over 2% automatically triggers an offer, ignoring creeping acquisition rules. Option (d) assumes on-market purchases are necessary, which is irrelevant as the limit applies to all acquisition methods. Option (e) misclassifies the acquirer as a promoter; creeping limits apply to any shareholder in the 25–75% bracket. Therefore, (c) is correct, reflecting the statutory framework for incremental acquisitions and balancing flexibility for large shareholders with protection of minority interests.

20. Answer B

Under Regulation 18(1)(a) of the SEBI (SAST) Regulations, 2011, a Draft Public Statement (DPS) must be issued within five working days of the public announcement of an open offer. The DPS is a key disclosure document that communicates the terms, price, and purpose of the offer to the shareholders. In this scenario, a PE fund acquires 26% via a Share Purchase Agreement (SPA) but issues the DPS four working days late. Although the delay is minor in absolute terms, SEBI's regulations prescribe a strict timeline to ensure transparency and fairness to minority shareholders. Non-compliance with the five-day timeline technically renders the action non-compliant with Regulation 18(1)(a). SEBI may allow procedural leniency on a case-by-case basis, but the statutory obligation remains strict. Option (a) is incorrect because the regulations do not automatically permit minor delays; timing is critical to protect shareholders. Option (c) (DPS within one working day) is stricter than statutory requirement. Option (d) (two working days) underestimates the five-day window. Option (e) incorrectly suggests that payment of a penalty retroactively legitimizes non-compliance; SEBI may impose penalties but the delay still constitutes a breach. Therefore, (b) is correct, emphasizing the importance of timely disclosure in open-offer procedures.

21. Answer C

Following the 2017 amendment to SEBI SAST Regulations, any pledge of shares by a promoter or acquirer is classified as an encumbrance under Regulation 2(1)(e). This includes pledges to banks, financial institutions, or other entities, and must be disclosed to the stock exchanges and shareholders. The rationale is that pledging shares can affect control and liquidity in a company. Shareholders need this information to assess potential risks, including

the possibility of invocation of the pledge affecting shareholding or voting rights. Option (a) is incorrect because post-amendment, pledges are explicitly included, not exempt. Option (b) is wrong because disclosure is required upon pledge, not only upon invocation. Option (d) incorrectly suggests a percentage threshold (>20%)—SEBI requires disclosure regardless of percentage. Option (e) is irrelevant; PAC pledges do not alter the statutory requirement. Therefore, (c) is correct, as any pledge of shares constitutes an encumbrance under the amended SEBI SAST Regulations and triggers mandatory disclosure.

22. Answer C

Regulation 3(1) mandates a mandatory open offer when an acquirer crosses the 25% shareholding threshold in a target company. F initially holds 24% and acquires an additional 2.5% after 30 days, increasing total holding to 26.5%. Since the threshold of 25% is crossed, a public offer under Regulation 3(1) is triggered. This rule applies irrespective of the method of acquisition or the frequency of purchases, as it is based on the cumulative shareholding. Option (a) is incorrect because total holdings now exceed 25%. Option (b) misinterprets the significance of the incremental purchase; even small acquisitions crossing the threshold trigger the offer. Option (d) is partially correct in requiring disclosure under Regulation 29 but does not replace the mandatory offer obligation. Option (e) misstates the role of board approval, which is not a substitute for an open offer. Therefore, (c) is correct, reflecting the statutory objective of protecting minority shareholders by mandating an open offer whenever control thresholds are crossed.

23. Answer A

Under the SEBI (SAST) Regulations, 2011, Regulation 10(1)(i) provides an exemption for inter-se transfers between AIF Category I and II schemes under the same sponsor/manager, provided both entities are regulated. This amendment recognizes that transfers within regulated entities do not pose a risk to public shareholders or the market, as these entities operate under SEBI oversight, have professional management, and are subject to disclosure requirements. In the given scenario, two AIF Category II schemes under the same manager transfer 10% of shares held for one year. Since they fall under the inter-se exemption, the transfer does not trigger a mandatory open offer. Option (b) (institutional transfer) is incorrect because the exemption is specific to AIF inter-se transfers under the same sponsor, not all institutional transfers. Option (c) (requires three-year holding) misapplies the promoter or regular shareholding rule; the AIF inter-se exemption relaxes the holding period requirement. Option (d) is wrong because promoter-group exemptions do not automatically extend to regulated AIFs. Option (e) (regulated entities) is partially correct but incomplete; the exemption specifically applies to inter-se transfers under the same sponsor/manager. Hence, (a) is correct, reflecting the nuanced regulatory framework ensuring operational flexibility for regulated funds while protecting minority shareholders.

24. Answer C

Regulation 3(1) of the SEBI SAST Regulations states that a mandatory open-offer obligation arises when an acquirer crosses the 25% threshold, regardless of the acquisition method. In this scenario, the acquirer executes a Share Purchase Agreement (SPA) for 10% and

simultaneously buys 7% on-market. Although these are two separate acquisitions, the open-offer obligation arises immediately upon crossing the 25% threshold cumulatively. The timing of the obligation is independent of whether the SPA or on-market purchase occurs first; the focus is on when the acquirer gains control beyond the regulatory threshold. Option (a) is incorrect because the SPA alone may not cross 25%. Option (b) is wrong because an on-market purchase alone may also be insufficient. Option (d) misinterprets the threshold; waiting for completion of both acquisitions is not required. Option (e) (demat credit date) is irrelevant because the obligation triggers upon acquisition agreement/market trade, not demat processing. Therefore, (c) is correct, consistent with statutory intent to protect minority shareholders and ensure timely disclosure and fair pricing.

25. Answer C

The 2021 amendment to the SEBI SAST Regulations clarified that in preferential allotments, the preferential issue price must be included in open-offer price calculation. Regulation 8(1) mandates that the offer price for a mandatory open offer be the highest of the negotiated price, the preferential issue price, or the six-month VWAP, ensuring that the offer reflects the true economic value paid for shares. This prevents acquirers from benefiting from discounted preferential allotments and acquiring control at the expense of public shareholders. Option (a) (only VWAP) is incorrect because VWAP alone does not account for the preferential issue price. Option (b) (highest of market price and negotiated price) ignores the preferential issue price, which is now mandatory. Option (d) (only SPA price) is insufficient, as preferential pricing must be considered. Option (e) (six-month weighted average) alone may undervalue the preferential allotment price if it is higher. Therefore, (c) is correct, fully aligning with the 2021 amendment's objective of fair pricing and protecting minority shareholder interests in open offers.